CHAPTER 01

Start where you are

Before we talk about what to do with your money, we need to know where you are.

How much money do you have right now? What money comes in? How much do you owe?

Those three questions give us a place to start. You can earn a good salary and still struggle to cover your bills. You can have no job and receive money from other sources. Your job title won't tell us the whole story.

I know what it feels like to have debt with no job. I lost my job during my honeymoon. I had debt from my wedding. My wife and I moved to New York, and I spent time living on credit. I'm still working through the debt I talk about in this book.

Why I want you to put it on paper

You need to see the numbers before you can make a plan with them.

I mean see them. Open the account. Look at the balance. Look at how much you owe. Write it on a sheet of paper and put it in front of you.

I'm not asking you to do this to scare you. We need to know what we're working with. “I have some savings” leaves us guessing. “I have $1,040” gives us a number we can use. The same goes for debt. Write the amount you owe, even if you'd rather not look at it.

You don't have to solve the whole thing while you make the list. Read the number. Sit with it for a moment. Get used to saying, “This is where I am today.” If you need a break, take one and come back to the page.

Then we can start asking useful questions. What money do you have? What payment is coming up? What needs to change?

By the end of this chapter, you'll have three lists: what you have, what comes in, and what you owe. You'll put their totals on one page and choose your starting path.

Where does your money come from?

Let's sort income by where it comes from. We'll use four groups.

YOUR INCOME AND SUPPORT

1. An employer pays you	Hourly pay, salary, tips, commission, bonuses.
2. You sell your own work	Freelance work, services, products, a business you run.
3. What you own pays you	Interest, dividends, rent, royalties.
4. You receive support or retirement payments	Benefits, pensions, regular family support, child support.

These are the groups we'll use to build your money plan. Tax forms may sort the same payments in other ways. The map draws on official income definitions.

1. An employer pays you

You work for someone who pays you. Hourly pay and salary both go here. They describe how your pay is worked out.

An hourly cashier and a salaried engineer use the same group. A sales worker's commission also belongs here when it comes from their employer.

2. You sell your own work

You get paid for goods or services through work you run yourself.

You might cut hair. Design websites. Sell meals. Run a shop. Make videos that earn money from ads or sponsors.

The money customers pay is your sales revenue. Your business has costs too. Keep those costs in view before you decide how much money the work gives you.

3. What you own pays you

Your savings may earn interest. Shares may pay dividends. A property may earn rent. You may receive royalties when someone pays to use work or rights you own.

A dividend is a payment a company makes to its shareholders. It belongs in a different group from a salary, even when one person receives both.

4. You receive support or retirement payments

You may receive a pension, cash benefits, or regular support from family. You may receive child support.

Put that money on the page too. It helps show what comes into your life, even when you don't have a job. Note any limits on how you can use it. Record help such as free housing beside the list; it can reduce a cost without putting cash in your account.

What about streamers and people with more than one source?

Sort the payment. A person can use more than one group.

Money received	Where it goes on this map
A salary from a company that employs you to make videos	Employer
Ads, paid subscriptions, or sponsors for the channel you run	Own work
A dividend from shares you own	What you own
Regular cash support from family with no repayment expected	Support
An hourly job plus freelance design work	Employer **and** own work

If you earn a salary and run a business, list both. If you also get dividends, list those too.

Some payments sit near the edge of two groups. A rental business is one example. Pick the description that fits the payment and count it once. If your business pays you, don't add its sales and your pay together as two lots of personal income. If you can't place a payment yet, write it down as ‘to check’ so it doesn't get lost.

A deposit is not always new income

Suppose you move $500 from savings into your spending account. You now have $500 in that account. You haven't earned another $500.

Borrowing $500 gives you cash too. It also gives you $500 to repay.

Keep another line for money from selling things, drawing on savings, loans, and one-time gifts. That money can help cover a cost. Mark whether it can happen again and whether you must pay it back.

When you sell an investment, the whole sale price isn't profit. Say you buy it for $800 and sell it for $1,000. Ignoring fees and taxes, the gain is

$200. The sale gives you $1,000 in cash. Those are two different numbers. This is an example, not a promised return. Source: Investor.gov's capital-gain definition [1].

Keep that gain with the sale record. Don't add it again on top of the $1,000 you received. Money you made once is also different from money you expect each month.

What counts as debt?

Debt is money you owe.

It can be money owed to a bank. It can be $200 you borrowed from a friend. It can be a bill you still need to pay. A debt doesn't need interest to count.

For this book, we'll sort money owed by how it came about.

MONEY YOU OWE

You borrowed or used credit	From a lender, a friend, a relative, or a service that lets you buy now and pay later.
You received something and still owe the bill	Unpaid rent, utilities, medical care, or other goods and services.
You owe a tax, fine, or court-ordered payment	Taxes, fines, or court-ordered payments you owe.

This is a way to find the amounts you owe. The terms still matter. A home loan and a loan from a friend both belong in borrowed money. They can have different costs, risks, and payment dates. Debt definitions and examples.

List the amount still owed today. A mortgage counts. A card balance counts even if you plan to clear it on the due date. For our broad definition, include bills already owed even when they aren't late. Add the

due dates if you know them. Don't add a future purchase you haven't made.

A student loan from the government still belongs under borrowing. The group follows how the debt arose. A court order about an existing debt doesn't mean you count that amount twice.

Count each amount once. If a loan pays off a bill, record the loan that's left. Don't keep the paid bill in your total. Keep any amount being disputed on a separate line while you check it.

Is it good debt or bad debt?

People use those labels to judge what a debt does for them. The label doesn't change the amount owed.

Before we call a debt good or bad, we need to ask:

- What did it pay for?

- What will it cost?

- When must you pay it?

- Can you make those payments?

- What could you lose if you can't?

We'll work through those questions in Chapter 5. For now, include the amount even if you think borrowing it was a good choice.

Find your starting path

For this first check, look at the income or support you have coming in now. Include an ongoing source even if it pays at uneven times. Mark anything that may stop. If you're living from savings with no current income source, use the no-income row and record those savings beside it.

Then look at what you owe.

Your starting point	You owe money	You don't owe money
You have income or support coming in	**I-D** · Income with debt	**I-ND** · Income without debt
You have no current income or support source	**N-D** · No income with debt	**N-ND** · No income without debt

These labels help you find the parts of the book that fit. They don't tell us whether your income covers your costs. They don't tell us how much cash you have saved. We need your lists for that.

Four examples

These people and dollar amounts are made up. Each example describes one month's money coming in and the total debt still owed.

Example	Money coming in	Money owed	Path
Sam has an hourly job and does freelance work.	$2,000 in take-home pay plus $300 from freelance work after business costs. Tax may still be due on that $300.	$200 owed to a friend	I-D
Lee receives a pension.	$1,800	$0	I-ND
Jo has no current income source.	$0; living from savings	$600 on a card	N-D
Ari has no current income source.	$0	$0	N-ND

An employer, a business, and investments can all change your income mix. They don't create new starting paths. The two questions stay the same.

Your first worksheet

If you have the companion workbook, turn to page 1: What I have now. We'll use pages 1-4 for this chapter.

Don't have it? Grab a notebook or some paper and a pen. I'll tell you what to write at each step. You can do the whole exercise that way. Use a document you can keep open beside you if writing by hand doesn't work for you.

Write what you know. If you don't know a number or a word yet, that's okay. Write “not sure yet” and keep going. You don't need every box filled in to finish this page. We're getting a picture of where you are right now. We'll work through the details as we go.

Write today's date at the top. Start with your own money. If you build a shared household plan, use that same household for all three lists. Count each balance once.

Step 1: Write down what you have now

Use workbook page 1: What I have now. On plain paper, write **“What I have now”** at the top. Make a line for each place you hold money. Beside it, write the balance, its label, and the date you checked it. Leave room for notes and an available balance if the account shows one.

Open each bank account you use. Check your everyday account, savings, and any app that holds money for you. Count the cash in your wallet or at home too.

Copy the balance shown. Don't round it or write what you think is in there. If all you have is an old statement, keep its amount and date as a note. Mark that account “to check.” Find a current balance before including it in today's confirmed total.

If the app shows both a current balance and an available balance, write both and keep those labels. Note pending payments, deposits, or transfers. Transactions may take time to appear. Check whether a

payment is already included before you subtract it again. Source: CFPB balance guidance [2].

Use one balance per account for the total. Use the current balance if it is shown; otherwise use the balance you copied with its label. Don't add the available amount as extra money.

Add the confirmed positive balances and the cash you counted. Write **“Money I have now: $_____.”** If an account still needs checking, mark this as a partial total. Keep notes about holds and amounts set aside for bills beside it. That total is not all free to spend.

Count only money held in each place. An app that displays your linked bank balance doesn't give you a second copy of that money. A transfer between your own accounts counts once.

Keep available credit and overdraft limits out of this total. Those are amounts you could borrow. If an account is below zero, put the amount owed on your debt list. Don't also subtract it from this cash total and then count it as debt again.

Other things you own: list investments, retirement accounts, property, or other assets on a separate part of the sheet. Record the value shown and its date. Mark an estimate as an estimate. Keep these values separate from money you can use now, and don't repeat balances already in the cash list.

If you can't find a number, write “to check.” Leave it visible until you find the record. An unknown amount is different from zero.

Step 2: List what comes in

Use workbook page 2: What comes in. On plain paper, write **“What comes in.”** Make a line for each source. Record its group and the amount received. Add space for the next payment, whether it varies, and costs or tax still to cover. Those extra details can wait if you don't know them yet.

Choose a month and write it at the top. Look at your pay records and accounts. Add each source. The examples use generic $ amounts. Use one currency for your own totals.

For employer pay, record what reaches you after payroll deductions. For your own work or rental income, subtract the costs you know. Note any costs or tax you still need to cover. If you don't know those amounts yet, mark them “not sure yet.” You can come back to them. Keep that note beside your total so it doesn't look like every dollar is free to spend.

Below your income list, list other cash from savings, sales, gifts, or borrowing. Note the amount and whether you must pay it back. Mark one-time amounts. Keep bills paid for you on a separate note. Don't turn one good month into a promise about every month.

Add the income entries for the month you chose. Write **“Income and support received during _____: $_____.”** Keep costs and tax still to cover beside that number. Leave the other cash receipts on their own line.

Today's balance and a month's income tell us different things. If your pay is already in your account, it's already part of that balance. Keep the totals separate.

Step 3: List what you owe

Use workbook page 3: What I owe. On plain paper, write **“What I owe.”** Make a line for each debt. Write who you owe, what it's for, the amount still owed, and the date you checked it. Leave space for any payment details you know.

Open your card and loan accounts. Gather the bills. Check your records for money borrowed from people. Copy the balance still owed and the date you checked it. Don't use the monthly payment as the whole debt.

Payment dates, interest, fees, and terms are optional for now. If you know your next payment and its date, write them down. If you know the interest or fees, add those too. If you don't know them, that's okay. Leave that space blank or write “not sure yet.”

You don't need to understand interest or fees to do this step. We'll go through them in Chapter 5: Make a plan for debt and Chapter 6: Credit cards. Right now, we're putting what you owe in one place so you can see it.

Check loans, cards, unpaid bills, taxes, and money borrowed from people. Keep your business's debts on a separate list. If you may be responsible for one yourself, mark that to check. If a balance is missing, write “not sure yet.” You can still list who you owe and come back to the amount.

Add the confirmed balances. Write **“Money I owe: $_____.”** If a balance is still missing, mark this as a partial total. Keep disputed and unknown amounts beside it so you can see what still needs checking. An unknown amount isn't zero.

Step 4: Put the whole page in front of you

Use workbook page 4: My money today. On plain paper, start a fresh page called **"My money today."** This is where you'll bring the three totals together.

Here is a made-up example. All balances are checked on the same day. There are no pending transactions in this example.

EXAMPLE SHEET · MADE-UP AMOUNTS

My money today

Money I have now: $1,040
Everyday account $600 + savings $400 + cash $40.

Income received last month: $2,300
Take-home pay. Some of this is already in the account balance above.

Money I owe: $4,200
Card $3,000 + loan $1,000 + friend $200.

Other things I own: listed separately
Values and estimates stay on their own list.

You can now look at the amounts together. You can see the money on hand, the month's income, and the debt. Each number has a job. Don't add all three into one total.

Fill in page 4 or make your own version on paper:

1. Write today's date and whose money you're listing.
2. Copy **"Money I have now"** and its total. Keep missing accounts, holds, pending items, and money set aside beside it. List other things you own separately.
3. Copy **"Income and support received"** with the month and its total. Add your current sources and any costs, tax, or amounts still to check.

4. Copy **"Money I owe"** and its total. Keep unknown or disputed amounts beside it. Mark any total with missing amounts as partial.
5. Write your starting path. Add the next bill or payment if you know it. Note one number or term you want to come back to.

Put the pen down and look at the page. Read each total and the gaps you've marked. This is what you know today. You can keep going with a few boxes left blank. Keep adding to the picture as you learn more.

Keep the sheet. We'll use it to work through spending and payment dates in Chapter 4. Update it when your situation changes.

Where to go next

Find your row below. Go to that chapter next. We'll take it one step at a time.

Your path	Your next chapter
I-D · Income with debt	When you get paid
I-ND · Income without debt	The life you want
N-D · No income with debt	Find and grow your income
N-ND · No income without debt	Find and grow your income

If a payment needs attention now, don't wait to finish another chapter to deal with it.

Sources and draft notes

The author's experience and four paths come from Notes 1-3. The definitions, generic dollars, practical maps, and instruction to see the numbers on paper come from Plan decisions. The maps are editorial groupings for this workbook. They are not a claim that every authority uses these exact categories.

Definitions and examples were checked against the BLS income glossary [3], Census income-source overview [4], CFPB glossary [5], and CFPB debt worksheet [6]. The research record explains what each source supports.

Later chapters are placeholders. This draft's next-chapter links show the planned route through the book.

References used in this chapter

1. Investor.gov's capital-gain definition
https://www.investor.gov/introduction-investing/investing-basics/glossary/capital-gain

2. CFPB balance guidance
https://www.consumerfinance.gov/consumer-tools/bank-accounts/know-your-overdraft-options/

3. BLS income glossary
https://www.bls.gov/cex/csxgloss.htm

4. Census income-source overview
https://www.census.gov/library/stories/2025/04/income-sources.html

5. CFPB glossary
https://www.consumerfinance.gov/consumer-tools/educator-tools/youth-financial-education/glossary/

6. CFPB debt worksheet
https://www.consumerfinance.gov/documents/5288/cfpb_ymyg_disabilities_debt-worksheet.pdf